

Lease decision playbook

Ramirez Auto Body - John Ramirez principles, revised 2024-02

Origins

I rented one bay on Market Street in 1992 with ,400 saved and Carmen carrying the household. The lease has been renegotiated three times since. Each time I have made the same three-part read: my floor, my ceiling, and the day I would walk. The number changes; the shape does not.

The three-part read

FLOOR - what I open at. Anchored in what the corridor is actually clearing on comparable auto-adjacent space, net of any renovation credit I would ask for.

CEILING - what I would sign in the last hour before walking. Anchored in what the bay actually produces on a rolling four-quarter run-rate at the current shop mix.

WALK DAY - the calendar day I stop negotiating and switch to the watchlist. Rule of thumb: never later than two weeks before the lease ends, because a rushed move on the last day is where the landlord wins.

Rules I have learned the hard way

1. Landlord industry-comparable claims are marketing. Angela Russo has taught me to ask for the corridor signings behind the number, not the number itself.
2. A five-year lock is not automatically better than a three-year. Angela runs the depreciation both ways; the tax angle can flip on capex we do inside the bay in the same window.
3. The address matters. Market Street is where the reputation lives. Any walk-away calculation carries a reputation cost that a spreadsheet does not fully price.
4. Personal guarantee ceiling is a hard cap. I do not raise it above what would fit inside our household net worth minus retirement and 529 accounts.
5. Draft envelope stays a draft. Nothing DocuSign-executed until I put pen to it.

Prior renewals - reference points

1998: initial 6-year at .80 per sqft. Signed at the ceiling.

2004: 6-year at .20. Countered from .50 down. Angela recommended the 6-year over 3-year on depreciation grounds.

2010: 6-year at .40. Corridor was still soft post-recession. Walk-away threshold was .

2016: 6-year at .80. Landlord initially asked +18 percent; ended at +6 percent from prior signing.

2022: 5-year at .00. First renewal on this bay under the current ownership group.

When to walk away for real

The three tests: (a) the ask exceeds a 15 percent rent-to-revenue ratio on the bay run-rate; (b) the landlord will not put a written offer on the table; (c) the corridor watchlist has at least two live alternatives on comparable terms within the same operational corridor. When all three hit, walking is the right move even against the reputation cost of the address.